



THE CHARTERED INSURANCE INSTITUTE

ADVANCED DIPLOMA

APRIL 2005 EXAMINATION PAPER

**UNIT 556
LIFE AND DISABILITY CLAIMS**

Three hours are allowed for this paper, which is in three parts.

READ THE INSTRUCTIONS OVERLEAF CAREFULLY BEFORE ANSWERING ANY QUESTIONS.

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556 – Life and disability claims

CANDIDATE INSTRUCTIONS

READ THE INSTRUCTIONS BELOW BEFORE ANSWERING ANY QUESTIONS

Three hours are allowed for this paper.

You should answer **all** questions in Part I, the compulsory question in Part II and **three** out of the five questions in Part III.

The paper carries a total of 200 marks, as follows:

Part I	48 marks
Part II	50 marks
Part III	102 marks

You are advised to spend no more than 45 minutes on Part I. You are strongly advised to attempt ALL the required questions to gain maximum possible marks.

In attempting the questions, you may find it helpful in some places to make rough notes in the answer booklet. If you do this, you must cross through these notes before you hand in the booklet.

Answer each question on a new page. If a question has more than one part, leave several lines blank after each part.

It is important to show all steps in a calculation, even if you have used a calculator.

- Fill in the information requested on the answer booklet and on form B.
- You are allowed to write on the inside pages of this question paper but you must **NOT** write your name, candidate number, PIN or any other identification **ANYWHERE** on this question paper.
- The answer booklet and this question paper **MUST BE HANDED IN PERSONALLY BY YOU** to the invigilator before you leave the examination. **FAILURE TO COMPLY WITH THIS REGULATION MAY RESULT IN YOUR PAPER NOT BEING MARKED AND YOU MAY BE PREVENTED FROM ENTERING THIS EXAMINATION IN FUTURE.**

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PART I

**Answer ALL questions in Part I.
Each question is worth six marks.**

Note form is acceptable where this conveys all the necessary information.

1. What is the Forfeiture Rule? When does it apply?
2. What special factors need to be taken into account when considering a critical illness claim for a child?
3.
 - (a) What is a Grant of Representation? (2 marks)
 - (b) In what circumstances, when dealing with a death claim, could a claims assessor decide to dispense with the need for a Grant of Representation? (2 marks)
 - (c) Why is this a risk? (2 marks)
4. Briefly outline the additional checks that should be made when assessing a claim on a policy that has been previously reinstated. Explain why they need to be made.
5. Outline the two most common diseases that would lead to a successful claim under the ABI Statement of Best Practice definition for aorta graft surgery for critical illness.
6. What elements would you expect to be referred to in an insurer's income protection policy terms and conditions when defining the deferred period? How do insurers apply these in practice?

7. (a) According to the ABI Statements of Best Practice for Income Protection and Critical Illness, list all situations typically excluded in war exclusions. (3 marks)
- (b) Give a definition of any three of these excluded situations. (3 marks)
8. Briefly explain the following terms:
- (a) carcinoma; (2 marks)
- (b) sarcoma; (2 marks)
- (c) lymphoma. (2 marks)

FOR USE WITH QUESTION 9 ONLY

Extract from Claim Form dated 1 April 2005

Name	<i>Jean Page</i>
Date of Birth	<i>25 November 1959</i>
Address	<i>12 Linden Road, Acton, London W3</i>
Marital status	<i>Married</i>
Dependants	<i>None</i>
Occupation	<i>Solicitor – Partner</i>
Smoking status	<i>Non-smoker</i>
When did you first consult a Doctor?	<i>1 February 2005</i>
Please provide details of your initial symptoms	<i>Lump in left breast</i>
When did your symptoms begin?	<i>End of January 2005</i>
Cause of claim	<i>Breast cancer</i>
Tests and Investigations undergone	<i>Scans & biopsy</i>
Current treatment	<i>Awaiting radiotherapy</i>
Other critical illness policies held	<i>None</i>
Have other members of your family suffered from this condition?	<i>No</i>

Extract from GPR

**GENERAL PRACTITIONER'S REPORT
For DUD Life**

Patients Name

<i>Jean Page</i>	Date of Birth	<i>25 November 1959</i>
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Address

<i>12 Linden Road, Acton, London W3</i>

1. From what date do the patient's records commence?

Birth

2. When was the patient first seen by you in relation to condition claimed for?

1 February 2005

3. Please provide full details of your patient's descriptions of their symptoms including when they first started.

Presented complaining of a lump in the left breast present for 6 weeks

4. Please confirm the diagnosis.

Breast cancer

5. Has your patient previously consulted you or any other doctor for treatment or advice for this or any related condition? If so, please provide full details especially dates, treatment and any time off work.

No

6. Please provide details of any treatment given.

Awaiting radiotherapy

7. Does the patient have an adverse family history in respect of the condition claimed for?

Yes - 2 maternal aunts and grandmother all had breast cancer

8. Have you completed claim reports for any other insurance company in connection with this condition? (If yes, please provide details)

Yes - ABC Life, XYZ Life and Easy Life.

Extract from Histology

Hammersmith NHS TRUST		
Hanwell Laboratory		Pathology Report
Surname Page	Forename Jean	Location Out-Patients Hanwell
	Date of Birth 25 November 1959	
	Date of Specimen 1 March 2005	Date Received 1 March 2005

Clinical Details

Left breast mass

Nature and site of specimen

Needle core biopsy of breast

Macroscopy

Four cores 55mm long

Macroscopic Description

Side – left

Number of cores – 4

Histology

Histological calcification – not present

Histological opinion – infiltrating duct carcinoma, grade 2

Pathologist Dr Charles Hunter

Date: 1 March 2005

PART II

Compulsory question.

This question is worth 50 marks.

9. Jean Page is a 45-year-old female who is a partner in a firm of solicitors. She holds a £500,000 accelerated critical illness policy with your office – DUD Life. There were no adverse disclosures on her proposal form. The policy commenced on 15 January 2005 with the aim of providing family protection.

Study the extracts of the three documents on pages 6 – 8

- Claim form.
 - GPR completed at claim stage.
 - Histology.
- (a) From the details provided explain whether you believe this claimant's condition satisfies the cancer definition as in the 2002 ABI Statement of Best Practice for Critical Illness. (11 marks)
- (b) Apart from whether the definition has been satisfied, what other issues need to be explored before being able to determine whether or not this is a valid claim? (26 marks)
- (c) The claimant has another policy providing life cover, terminal illness and waiver of premium (own occupation, deferred period of 13 weeks). This policy commenced in 2003. The claimant has asked whether she can claim on this policy as well. Draft a response to her. (13 marks)

PART III

**Answer THREE of the following FIVE questions.
Each question is worth 34 marks.**

10. (a) Why do insurers need to know about a policyholder's occupation at underwriting? (4 marks)
- (b) Explain the implications of a policyholder changing their occupation under an income protection policy. What options are available to insurers in these circumstances? (30 marks)
11. (a) Outline the purpose of a Coroner's inquest. (6 marks)
- (b) What steps would the Coroner take as part of their inquest? (11 marks)
- (c) What must the Coroner have proved in order to reach a verdict of suicide? (6 marks)
- (d) Discuss the application of life policy suicide exclusion clauses where the Coroner has reached an open verdict. (11 marks)
12. (a) Outline the nature of and symptoms associated with Alzheimer's disease. (8 marks)
- (b) Discuss the claims implications of this medical condition with reference to the possible relevant critical illness policy definitions. (26 marks)
13. (a) When might an assessor seek expert opinion on a claims file from a professional outside the claims area? (14 marks)
- (b) Give three examples of the professions to which the file could be referred and discuss the benefits of their respective input. (20 marks)

14. (a) What is non-disclosure and how have the various types traditionally been classified? (12 marks)
- (b) Discuss how the Financial Ombudsman Service (FOS) has recently modified this traditional approach. (10 marks)
- (c) What action would you recommend in respect of a claim where non-disclosure has arisen resulting from an ambiguous question on the proposal form? (12 marks)